

Q.3a (20 marks): Formalist and substantivist approaches in economic anthropology

Critically discuss the formalist and substantivist approaches in the context of economic anthropology. 20

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Karl Polanyi in
"the great transformation" put forward
the substantivist view of economic
study of simple society, countering the
view of formalists

Scholars associated

① Formalism : Herskovits, Schneider, etc

② Substantivism : Polanyi, Sahlins, Malinowski, etc

formalists view of economic anthropology

a) They consider that the economics
of simple societies can be studied
using principles of classical
economics.

b) Principles like law of demand & supply, maximisation, rationality of human actions to avoid loss & maximise profit are considered to be applicable to simple societies as well.

c) They argued to treat simple economics as pure economics.

Substantivist view of economic anthropology

(a) Scholars like Karl Polanyi argued that the simple societies economy are not pure economics but social economics, where social relations instead of rationality drive action.

(b) Consider anthropologists to be capable of studying simple economics due to their consideration of social aspects.

c) Substantivist rebuttal of formalism using ethnographic examples

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(i) for principle of maximisation

① Holds that human aims to maximise utility.

② Cameiro study of Kuitema of Amazon highlight they work merely for $3\frac{1}{2}$ hour per day. If they work an hour longer they would be in surplus, however they don't care for maximising utility.

(ii) Principle of rationality

① Holds humans are rational in economic decision making

② Potlatch among Kwakiutl of British Columbia where destruction of goods to enhance social standing takes place regu-

the principle of rationality

(iii) Law of Demand & Supply

- ① The exchange between Bantu Cultivator & Coastal fisherman in Africa do not follow principles of demand & supply as they value social relations over profit

Criticism of Approaches

a) Formalism → i) Principle of rationality is tautological

↳ ii) Avoid the social relations in studying economy

↳ iii) Irrational divorce of social reality from economy.

b) Substantivist

↳ i) Avoid some principles of economy like Barter, etc that take place in simple economy

Both approaches enriched our understanding of simple societies

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